

PS - 05 FINANCE / FINTECH

The First Salary Trap

The salary hits on the 1st. By the 12th, it is gone. Nobody knows where it went.

Difficulty	Intermediate — Full Stack
AI Requirement	Optional (useful for content verification and search)
Team Size	2 – 4 members
Domain	Personal Finance, First-Time Earners, UPI-First India
Primary Users	First-time salaried earners aged 21-26 in Indian tier-1 and tier-2 cities

01 THE PAIN

The salary arrives. The leaking starts immediately.

Riya is 22, earning ₹18,000/month in Hyderabad. Her salary hits her account on the 1st. By the 12th she has ₹3,000 left and genuinely does not know where it went. She did not go on a shopping spree. She did not make any single large bad decision. The money just... disappeared — across 40 small UPI transactions, each of which felt reasonable at the time.

She has vague goals — save for a new phone, send ₹3,000 home every month, build a small emergency buffer. But she has no system. Banks gave her a savings account and a passbook. Nobody gave her a framework for what to do with money when it arrives. Budgeting apps exist but they are built for people who already know what a budget is — people who know what a "category" is, who can sit and tag 60 transactions a month, who enjoy thinking about money. Riya is not that person. She is anxious about money, not interested in it. The guilt of not saving compounds the anxiety. The cycle repeats every month.

The Real Numbers

- India added over 8 million first-time salaried workers in 2023 alone — most earning between ₹15,000–₹35,000/month with zero financial literacy infrastructure
- UPI processed over 13 billion transactions/month in India in 2024 — yet not a single bank surfaces spending insight to the user in real time at the moment it matters
- Less than 8% of Indians aged 22–28 have a monthly savings plan — the majority report "I know I should save but I never have enough left"
- Existing tools — ET Money, Walnut, Money Manager — require users to manually tag transactions and understand budget categories. Average user abandons within 3 weeks.

02 THE USERS

One person. One inflection point.

Unlike most problems in this set, this is a single-user tool — but the user has two very distinct emotional states that the product must serve differently:

Riya on Salary Day (Hopeful, Receptive)

The 1st of the month is the one moment Riya feels in control. She has money. She has intentions. She is open to making decisions. This is the product's only real window — a 5-minute ritual on salary day where she sets her month up correctly. If the product does not show up here, it has missed the only moment she was ready.

Riya on the 12th (Anxious, Avoidant)

By mid-month, Riya does not want to open a finance app. She knows the number will be bad. She avoids it. A product that demands engagement mid-month — through nudges, alerts, or spending reviews — will be muted, ignored, or deleted. The product must do its work on salary day and then get out of the way.

The Hidden Insight

The bottleneck is not willpower or discipline. It is the absence of a decision moment. Money arrives and immediately starts leaking because there was never a moment where Riya consciously decided what it was for. The product must create a ritual around salary day — not a tracking habit around every transaction. This is the core design principle.

03 THE CHALLENGE

What you need to build

Build a financial clarity tool for first-time earners — not a budgeting app in the traditional sense, but a salary-day ritual that intercepts the moment money arrives and helps the user make exactly three decisions before a single rupee is spent. UPI transaction history is the primary data source. The UI must never feel like accounting software.

The product must execute three jobs in sequence:

Job 1 — The Salary Intercept

The moment a salary credit hits Riya's UPI-linked account, the product detects it and surfaces a salary day prompt — not a notification to be dismissed, but the opening of the ritual. The detection must be automatic. Riya must not have to remember to open the app.

Approaches to explore:

- SMS parser: read bank credit SMS to detect salary arrival (no API access needed)
- UPI transaction history import via PDF bank statement or Google Pay/PhonePe export
- Manual salary entry as fallback — user confirms "my salary arrived" and enters the amount

Job 2 — The Three Decisions

The ritual presents exactly three questions — in plain language, not financial jargon. Each question has a suggested answer based on last month's patterns. Riya confirms or adjusts. The whole interaction takes under 5 minutes. When she is done, the number she needs — free-to-spend — is right there.

- Decision 1 — "How much do you want to save this month?" (suggested: ₹2,000 based on last month's pattern). User confirms or adjusts. Amount is mentally ring-fenced immediately.
- Decision 2 — "What fixed things go out this month?" (auto-detected from UPI history: rent, recharge, subscriptions). User confirms the list. Total fixed commitments calculated.
- Decision 3 — "Anything specific you're spending on this month?" (e.g. a trip, a gift, a new purchase). User adds or skips. This is optional context, not a mandatory category exercise.

Job 3 — The Single Number

After the three decisions, the product produces one output: Free to Spend This Month = ₹X. Not a pie chart. Not a category breakdown. One number. Riya knows exactly what she can spend without guilt. The rest of the month the app shows her how much of that number remains — a single, shrinking balance she can check in 3 seconds.

- Home screen: one number — "You have ₹4,200 left to spend freely this month"
- UPI transactions auto-deducted from the free-to-spend balance as they happen
- End of month: simple summary — saved vs. target, free-to-spend used vs. allocated. One screen, no detailed breakdown required

04 SUCCESS CONDITION

What does winning look like?

On the 1st of the month, Riya opens the app, sees her salary has arrived, answers three plain-language questions, and within 5 minutes has a single number: how much she can spend freely this month. She did not touch a spreadsheet. She does not know what a budget category is. She has not felt anxious once during the process.

Secondary success indicators:

- Fixed commitments are auto-detected from UPI history — Riya does not have to remember and type her rent amount
- The three-question ritual takes under 5 minutes from salary detection to free-to-spend number
- By the 15th, Riya can check her remaining free-to-spend balance in under 3 seconds — one tap, one number
- At month end, Riya can see whether she hit her savings goal — with no transaction tagging required from her at any point

05 CONSTRAINTS & ASSUMPTIONS

What your solution must respect

- No credit card support required — Riya's entire financial life runs on UPI and cash
- No bank API integration — use SMS parsing, PDF bank statement import, or manual entry as data sources
- The three-question ritual must use plain language only — no finance jargon anywhere in the UI
- The product must not demand daily or weekly engagement — it should do its job on salary day and be a passive reference the rest of the month
- No investment advice, SIP recommendations, or insurance upsell — scope is monthly spending clarity only
- The tone must be warm and non-judgmental — Riya is already anxious about money; the product must never make her feel worse

06 AI INTEGRATION NOTE

Optional — two high-value applications

AI is not required. A clean rules-based system that parses SMS credits and auto-detects recurring UPI debits can absolutely win this. However, two AI applications meaningfully improve the experience:

- Auto-detection of fixed commitments — AI analyses UPI transaction history to identify recurring payments (same merchant, similar amount, monthly cadence) and pre-fills the fixed commitments list. Riya just confirms rather than builds from scratch. This is the single highest-leverage AI application here because it removes the hardest user task.
- Suggested savings target — based on Riya's last 3 months of spending patterns, AI suggests a savings amount that is realistic rather than aspirational. A suggestion of ₹500 that she actually hits beats a suggestion of ₹3,000 that triggers guilt when she fails.

Do not build a conversational AI assistant that asks Riya questions about her financial goals. The three-question ritual must be fast, structured, and finite — not an open-ended chat that feels like a financial planning session.

07 JUDGING CRITERIA

How your solution will be evaluated

Dimension	What to Evaluate	Benchmark	Weight
Ritual Speed	Time from salary detection to free-to-spend number	Under 5 minutes, 3 questions only	35%
Auto-Detection	Are fixed commitments pulled from UPI history automatically?	At least rent/recharge detected without manual entry	25%
UI Simplicity	Does the interface feel like accounting software?	Zero finance jargon visible anywhere in the flow	20%
Mid-Month Usefulness	Can the user check their balance in under 3 seconds?	One-tap home screen number, always current	15%
Tone	Is the language warm and non-judgmental throughout?	No negative framing, no guilt triggers	5%

08 BENCHMARK

Mediocre vs. Good vs. Winning

Mediocre	A budgeting app with expense categories — Food, Transport, Entertainment — where the user manually tags every transaction. Has a pie chart. Looks like every other finance app. Riya uses it for 10 days, misses a few transactions, feels guilty, and deletes it.
Good	Salary-day ritual with 3 questions. Fixed commitments auto-detected from SMS/UPI history. Free-to-spend number displayed prominently. No transaction tagging required. Riya completes the setup in 4 minutes and checks her balance twice a week.
Winning	The app detects the salary SMS at 11:03 AM on the 1st. A notification opens the ritual directly. AI pre-fills fixed commitments from 3 months of UPI history and suggests a savings target of ₹1,500 — realistic, not aspirational. Riya answers 3 questions in 3 minutes. The demo shows her home screen at the end: one number, warm colour, zero jargon. The judges feel like they are looking at something Riya would actually use for 6 months.